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|                                                                         |                                           |
|-------------------------------------------------------------------------|-------------------------------------------|
| 1. Table of Contents                                                    | 12. Risk & Mitigants                      |
| 2. Situation Overview and Current Investment Setup                      | 13. Timeline of Recovery                  |
| 3. Market Narrative and Analyst Sentiment Surrounding the Stock         | 14. Financials   Income Statement         |
| 4. Investment Thesis Summary and Target Price                           | 15. Financials   Balance Sheet            |
| 5. Geographic Segments and Revenue Breakdown                            | 16. Financials   Cash Flow                |
| 6. Business Model Unit Economics and Competitive Moats                  | 17. Financials   Capital Structure & WACC |
| 7. Industry Overview — Trends and Structure                             | 18. Valuation Summary (Football Field)    |
| 8. Industry Overview — Barriers to Entry and Profitability              | 19. Sum of the Parts                      |
| 9. Investment Thesis I                                                  | 20. DCF Valuation                         |
| 10. Investment Thesis II: Partial Margin Recovery & Brand Loyalty Floor | 21. Comps Analysis                        |
| 11. Investment Thesis III: Geographic Growth Divergence                 | 22. Precedent Transactions                |

*This slide outlines why this investment opportunity exists and the historical financial context driving the current setup*

- The recent guidance cut triggered a massive cyclical panic pushing Lululemon down to roughly 100 dollars [1]
- Despite historically compounding double digit growth the market capitulated over a guidance cut of 5 to 7 percent [2]
- Lululemon still retains durable cash flows with clean run rate operating margins of 13.2 percent [3]

**Links & Sources**

- [1] TIKR LULU Stock Crashed 17%: <https://www.tikr.com/blog/lululemon-stock-crashed-17-on-friday-the-guidance-cut-was-the-real-story>
- [2] Lululemon Q2 FY2026 Guidance Release: <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Model: LULUMODEL18.xlsx

*This slide breaks down current market sentiment and exactly what analysts are saying about the recent guidance cut*

- Morgan Stanley issued a highly pessimistic forecast after management aggressively cut 2026 revenue guidance to 10.35 billion [1]
- Analysts are paralyzed by cyclical fears as the consensus price target was slashed from 176 dollars to 136 dollars [2]
- Firms like BTIG maintain neutral ratings due to short-term turbulence but ignore the durable competitive advantage we see [3]

**Links & Sources**

- [1] MarketBeat: Morgan Stanley Issues Pessimistic Forecast for lululemon athletica: <https://www.marketbeat.com/instant-alerts/analyst-morgan-stanley-issues-pessimistic-forecast-for-lululemon-athletica-nasdaq-lulu-stock-price-2026-09-04/>
- [2] Simply Wall St: lululemon athletica Stock Analysis: <https://simplywall.st/stocks/us/consumer-durables/nasdaq-lulu/lululemon-athletica>
- [3] GuruFocus: LULU Reiterates by BTIG - Rating Maintained at Neutral: <https://www.gurufocus.com/news/9068272/lulu-reiterates-by-btig-rating-maintained-at-neutral>

*This slide breaks down our actual 133 dollar base case target price and the three core pillars supporting our overweight recommendation*

- Our discounted cash flow valuation generates a base case implied share price of 133.64 dollars representing a 33.6 percent upside from current levels [1]
- The first pillar is profitability because adjusting out the tariff refunds reveals LULU still maintains a highly resilient 13.2 percent clean run-rate operating margin [2]
- The second pillar is our mathematically sound 9.0 percent WACC which strictly bounds our 2.3 percent long-term revenue growth assumption [3]
- Finally international expansion remains the crucial growth engine as 4 percent growth in China Mainland easily offsets the temporary North American stagnation [4]

**Links & Sources**

- [1] Provided Valuation Model (Base Case Implied Value): LULUMODEL18\_3.xlsx
- [2] Lululemon Q2 FY2026 Earnings Release (13.2% Margin Calc): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Model (WACC & Revenue Drivers): LULUMODEL18\_3.xlsx
- [4] Lululemon Q2 FY2026 Earnings Release (International Growth): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>

**Investment Research Division**  
**lululemon athletica (NASDAQ: LULU)**

*This slide outlines Lululemon's geographic segments and revenue breakdown while detailing why China growth offsets temporary US declines*

- Lululemon generated 11.1 billion dollars in total revenue with Americas contributing 7.85 billion dollars or 70.68 percent [1]
- Americas comparable sales fell 3 percent due to temporary cyclical macro pressure rather than structural brand degradation [2]
- China Mainland surged 20 percent to 1.75 billion dollars proving high growth international expansion easily offsets US temporary weakness [3]

**Links & Sources**

- [1] Lululemon FY2025 Form 10-K (Segment Revenue and Percentages): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [2] Lululemon FY2025 Form 10-K (Americas Comparable Sales): <https://corporate.lululemon.com/~media/Files/L/Lululemon/investors/results-center/q2-2026-financial-supplement.pdf>
- [3] Provided Valuation Model (China Mainland Growth & Revenue Driver): LULUMODEL18.xlsx

*This slide analyzes Lululemon's unit economics and competitive moats that protect its long-term market leadership*

- Lululemon sustains a 56.6 percent gross margin providing a massive competitive moat against retail price competition [1]
- E-commerce unit economics remain elite with direct-to-consumer EBIT margins hitting 23.6 percent without retail occupancy drag [2]
- Company-operated stores generate 1,426 dollars per square foot and an 18.6 percent EBIT margin establishing high capital efficiency [3]

**Links & Sources**

- [1] Provided Valuation Model (Gross Margin): LULUMODEL18\_6.xlsx
- [2] Provided Valuation Model (E-commerce EBIT Margin Driver): LULUMODEL18\_6.xlsx
- [3] Provided Valuation Model (Store EBIT Margin & SPSF): LULUMODEL18\_6.xlsx

*This slide explores the ongoing athleisure industry trends including market fragmentation and the barriers to entry*

- I argue the global athleisure market remains highly fragmented meaning most players lack a durable competitive advantage [1]
- The premium segment maintains high barriers to entry protecting global champions from temporary cyclical noise [2]
- Lululemon mathematically proves its moat by generating a 30.25 percent ROE far outpacing the 6.81 percent industry median [3]

**Links & Sources**

- [1] Market.us Media (Athleisure Market Fragmentation): <https://media.market.us/athleisure-industry-statistics/>
- [2] Fortune Business Insights (Premium Athleisure Trends): <https://www.fortunebusinessinsights.com/athleisure-market-110642>
- [3] FinanceCharts (Lululemon ROE & Retail Median): <https://www.financecharts.com/stocks/LULU/growth/roe>

*This slide dissects capital efficiency metrics comparing Lululemon's gross margin directly against legacy apparel competitors*

- Lululemon commands a 56.6 percent gross margin far exceeding traditional athletic apparel peers like Nike and Under Armour [1]
- Nike struggles to maintain a 43 percent margin while Under Armour hovers around 46 percent reflecting their wholesale dependence [2]
- Lululemon's direct-to-consumer scale prevents this structural margin compression and forms an impenetrable economic moat against industry price wars [3]

**Links & Sources**

- [1] Provided Valuation Model (Gross Margin Assumptions): LULUMODEL18.xlsx
- [2] Investing.com (Nike & Under Armour Historical Gross Margins): [https://www.investing.com/pro/NYSE:NKE/explorer/gp\\_margin](https://www.investing.com/pro/NYSE:NKE/explorer/gp_margin)
- [3] ProAnalyst LULU Market Report (Competitor Margins & DTC Moat): <https://lulu.proanalyst.ai/business>



*This slide outlines the core contrarian investment thesis utilizing numerical evidence from the LULUMODEL18.xlsx file*

- The 2026 price drop exceeding 50% has left Lululemon critically undervalued despite durable cash flows [1]
- Its premium Direct-to-Consumer revenue mix protects a massive 54.9% adjusted gross margin, mathematically justifying my intrinsic valuation thesis [2]
- Furthermore, even with Americas growth stagnating, sheer cash flow generation creates a robust intrinsic valuation buffer, where a conservative 2.25% terminal growth rate still yields over 30% upside to our \$133.64 target price [3]

**Links & Sources**

- [1] <https://everythingmoney.com/blog/lululemon-is-collapsing-burry-s-biggest-bet-4334>
- [2] <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] LULUMODEL18.xlsx, DCF Terminal Value & Valuation Summary Schedule

*This slide details how partial margin recovery supported by core brand loyalty still drives a highly compelling valuation*

- Historical pandemic-era peak EBIT margins reached 23.7% in FY24 showing prior peak earnings power [1]
- Our valuation assumes a floor built on resilient baseline brand loyalty, proving Lululemon does not need to remain the hottest viral trend 100% of the time to sustain a 13.2% trough margin [2]
- A modest partial recovery to just 15.5% EBIT margin by FY30 still yields \$133.64 per share [3]
- This proves returning to peak COVID profitability is completely unnecessary to unlock substantial market upside [4]

**Links & Sources**

- [1] LULUMODEL18.xlsx / SEC EDGAR Form 10-K (FY24 Peak Margins)
- [2] LULUMODEL18.xlsx, Clean Run-Rate EBIT Margin & Brand Royalty Assumptions
- [3] LULUMODEL18.xlsx, Base Case DCF Valuation Summary
- [4] LULUMODEL18.xlsx, Discounted Cash Flow Valuation Summary

*This slide examines how Lululemon's top-line projections rely disproportionately on Chinese market expansion to conceal domestic North American stagnation*

- The revenue build reveals Americas facing near-term contraction with -4.0% comps in FY26 flatlining at a terminal 2.0% growth rate by FY30 [1]
- To offset this domestic anchor, the model relies entirely on disproportionate FY26–FY30 Chinese footprint expansion, averaging 16 new stores annually versus just 6 domestically, and sustained double-digit (10.2% average) comp growth to overcome clear Americas expansion drawbacks [2]
- Consequently, if the Chinese consumer softens, this model's core top-line projections will not be optimal enough to meet our target [3]

**Links & Sources**

- [1] LULUMODEL18.xlsx, Americas FY26-FY30 Comparable Sales Growth Assumptions
- [2] LULUMODEL18.xlsx, FY26 Store Openings & Mainland China Revenue Build
- [3] LULUMODEL18.xlsx, Revenue Drivers Schedule

*This slide evaluates core downside risks and demonstrates how share repurchases compound EPS to drive share price recovery*

- China deceleration risks a \$56.00 bear floor, but \$45.64 cumulative cash per share recovers 45% of entry price [1]
- Slashed CapEx saves \$360M annually by relying on online e-commerce's 23.6% EBIT margin plus \$101.5M inventory releases [2]
- Deploying \$500M annually into buybacks retires 18.7 million shares, compounding EPS to \$13.36 to support our target price of \$133.64 [3]

**Links & Sources**

- [1] LULUMODEL18.xlsx, Bear Case DCF Valuation Summary / <https://www.barrons.com/articles/lululemon-stock-earnings-guidance-a7a7c5c0>
- [2] LULUMODEL18.xlsx, CapEx & E-Commerce Channel EBIT Assumptions / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] LULUMODEL18.xlsx, Share Repurchase & EPS Accretion Schedule / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>

|                                         |                                                                                                                                                                           |
|-----------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 2026 (Q3 FY2026 Trough)                 | Q3 FY2026 revenue laps guidance trough while China Double 11 sales confirm holiday store traffic floor stabilization across key markets [1]                               |
| 2027 (FY2026 Year-End)                  | First full-year reset absorbs steep prior declines while \$134.5M tariff refunds and targeted SG&A cost actions protect earnings per share [2]                            |
| 2027 (FY2027 Margin Inflection)         | Operating margins expand to 13.8% (+60 bps) as promotional headwinds anniversary, while 75% UFCF buybacks compound EPS to boost sentiment [3]                             |
| 2028 (FY2027–FY2028 Multiple Re-Rating) | Accelerating international store scaling (+12% China comps) offsets Americas softness (-4%), driving overall revenue recovery and valuation re-rating toward \$133.64 [4] |

Links & Sources

- [1] LULUMODEL18.xlsx, Scenarios & Revenue Drivers / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [2] LULUMODEL18.xlsx, NOPAT Bridge & Scenarios / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [3] LULUMODEL18.xlsx, Scenarios & Unlevered Free Cash Flow Schedule / <https://corporate.lululemon.com/newsroom/press-releases/2026/09-03-2026-210528733>
- [4] LULUMODEL18.xlsx, Revenue Drivers & DCF Valuation Summary / <https://stockanalysis.com/stocks/lulu/forecast/>

Reported history (10-K) vs base-case operating forecast: FY26–30  
(US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Net revenue: FY22 \$8,111M → FY25 \$11,103M
- Gross profit: FY22 4,492M → FY25 6,284M
- Operating income: FY22 1,328M → FY25 2,211M
- Operating margin %: FY22 16.4% → FY25 19.9% (peak 23.7% FY24)
- Net income: FY22 855M → FY25 1,579M
- Diluted EPS: FY22 \$6.68 → FY25 \$13.26

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Net revenue: FY26 10,425M → FY30 11,418M
- Gross profit: FY26 5,901M → FY30 6,463M
- Operating income: FY26 1,511M → FY30 1,770M
- Operating margin %: FY26 14.5% → FY30 15.5%
- Net income: FY26 1,089M → FY30 1,256M
- Diluted EPS: FY26 \$9.55 → FY30 \$12.93

| US\$ M             | 22                        | 23    | 24     | 25                                                            | 26     | 27     | 28     | 29     | 30     |
|--------------------|---------------------------|-------|--------|---------------------------------------------------------------|--------|--------|--------|--------|--------|
| Net revenue        | 8,111                     | 9,619 | 10,588 | 11,103                                                        | 10,425 | 10,665 | 10,910 | 11,161 | 11,418 |
| Gross profit       | 4,492                     | 5,609 | 6,271  | 6,284                                                         | 5,901  | 6,036  | 6,175  | 6,317  | 6,463  |
| Operating income   | 1,328                     | 2,133 | 2,506  | 2,211                                                         | 1,511  | 1,469  | 1,566  | 1,666  | 1,770  |
| Operating margin % | 16.4%                     | 22.2% | 23.7%  | 19.9%                                                         | 14.5%  | 13.8%  | 14.4%  | 14.9%  | 15.5%  |
| Net income         | 855                       | 1,550 | 1,815  | 1,579                                                         | 1,089  | 1,056  | 1,120  | 1,187  | 1,256  |
| Diluted EPS (\$)   | 6.68                      | 12.20 | 14.64  | 13.26                                                         | 9.55   | 9.65   | 10.66  | 11.75  | 12.93  |
| Line item          | Hist source (22–25)       |       |        | Fcst source, Scenarios col G                                  |        |        |        |        |        |
| Net revenue        | 10-K IS, Net revenue      |       |        | Scenarios!G25:G29 (Revenue yr 1–5)                            |        |        |        |        |        |
| Gross profit       | 10-K IS, Gross profit     |       |        | Scenarios!G25:G29 × Scenarios!G30:G34 (rev × GM%)             |        |        |        |        |        |
| Operating income   | 10-K IS, Operating income |       |        | Scenarios!G45:G49 (EBIT yr 1–5)                               |        |        |        |        |        |
| Operating margin % | 10-K IS, OI ÷ revenue     |       |        | Scenarios!G45:G49 ÷ Scenarios!G25:G29                         |        |        |        |        |        |
| Net income         | 10-K IS, Net income       |       |        | Scenarios!G143:G147 (pitch bridge NI)                         |        |        |        |        |        |
| Diluted EPS        | 10-K IS, Diluted EPS      |       |        | NI ÷ buyback-adjusted shares (\$500M/yr; Scenarios!G188:G192) |        |        |        |        |        |

Forecast: LULU\_DCF\_Valuation\_Model.xlsx → Scenarios col G. EPS = NI ÷ diluted shares after \$500M/yr repurchases (DCF \$134 still uses 111.4M day-one basic shares). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Net-cash history vs base-case funded growth: FY26–30 (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash & equivalents: FY22 1,155M → FY25 1,807M
- Inventories: FY22 1,447M → FY25 1,701M
- Total assets: FY22 5,607M → FY25 8,457M
- Total liabilities: FY22 2,458M → FY25 3,495M
- Total equity: FY22 3,149M → FY25 4,962M
- Funded debt: \$0 across FY22–FY25 (net-cash)

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash & equivalents: FY26 2,393M → FY30 4,497M
- Inventories: FY26 1,585M → FY30 1,681M
- Total assets: FY26 7,941M → FY30 8,697M
- Total liabilities: FY26 3,282M → FY30 3,594M
- Total equity: FY26 4,659M → FY30 5,103M
- Funded debt: \$0 (no term debt in model)

| US\$ M             | 22                            | 23    | 24    | 25    | 26                                                   | 27    | 28    | 29    | 30    |
|--------------------|-------------------------------|-------|-------|-------|------------------------------------------------------|-------|-------|-------|-------|
| Cash & equivalents | 1,155                         | 2,244 | 1,984 | 1,807 | 2,393                                                | 2,825 | 3,317 | 3,874 | 4,497 |
| Inventories        | 1,447                         | 1,324 | 1,442 | 1,701 | 1,585                                                | 1,608 | 1,632 | 1,657 | 1,681 |
| Total assets       | 5,607                         | 7,092 | 7,603 | 8,457 | 7,941                                                | 8,124 | 8,310 | 8,502 | 8,697 |
| Total liabilities  | 2,458                         | 2,860 | 3,279 | 3,495 | 3,282                                                | 3,357 | 3,434 | 3,513 | 3,594 |
| Total equity       | 3,149                         | 4,232 | 4,324 | 4,962 | 4,659                                                | 4,766 | 4,876 | 4,988 | 5,103 |
| Funded debt        | 0                             | 0     | 0     | 0     | 0                                                    | 0     | 0     | 0     | 0     |
| Line item          | Hist source (22–25)           |       |       |       | Fcst source, Scenarios col G                         |       |       |       |       |
| Cash & equivalents | 10-K BS, Cash & equivalents   |       |       |       | Scenarios!G163:G167 (pitch bridge cash roll-forward) |       |       |       |       |
| Inventories        | 10-K BS, Inventories          |       |       |       | Scenarios!G80:G84 (NWC schedule)                     |       |       |       |       |
| Total assets       | 10-K BS, Total assets         |       |       |       | Scenarios!G168:G172 (FY25 TA × rev growth)           |       |       |       |       |
| Total liabilities  | 10-K BS, Total liabilities    |       |       |       | Scenarios!G173:G177 (FY25 TL × rev growth)           |       |       |       |       |
| Total equity       | 10-K BS, Total equity         |       |       |       | Scenarios!G178:G182 (FY25 TE × rev growth)           |       |       |       |       |
| Funded debt        | 10-K BS, Long-term debt (\$0) |       |       |       | Model assumption, \$0 (no term debt)                 |       |       |       |       |

BS forecast: cash roll-forward includes \$500M/yr buybacks; equity scales with revenue (buyback-driven equity reduction shown via CF / IS share count, not TE line). Hist = 10-K. Forecast (26–30) = DCF Scenarios pitch-bridge block, col G (base case only). Per-row model refs shown under line items.

Operating FCF (DCF input) vs financing: historical 10-K vs base case (US\$ M)

HISTORICALS (FY2022–FY2025) | SEC 10-K

- Cash from operations: FY22 966M → FY25 1,602M
- D&A (add-back): FY22 292M → FY25 496M
- Capital expenditures: FY25 (681) outflow
- Free cash flow: FY25 922M (CFO – capex)
- Share repurchases (CFF): FY25 (1,178) outflow

FORECAST (FY2026E–FY2030E) | base case (Scenarios col G)

- Cash from operations: FY26 1,660M → FY30 1,751M
- D&A (add-back): FY26 469M → FY30 514M
- Capital expenditures: FY26 (573) → FY30 (628)
- Free cash flow: FY26 1,087M → FY30 1,123M
- Share repurchases (CFF): FY26 (500) → FY30 (500)

| US\$ M                  | 22    | 23    | 24      | 25      | 26    | 27    | 28    | 29    | 30    |
|-------------------------|-------|-------|---------|---------|-------|-------|-------|-------|-------|
| Cash from operations    | 966   | 2,296 | 2,273   | 1,602   | 1,660 | 1,518 | 1,593 | 1,670 | 1,751 |
| D&A (add-back)          | 292   | 379   | 447     | 496     | 469   | 480   | 491   | 502   | 514   |
| Capital expenditures    | (639) | (652) | (689)   | (681)   | (573) | (587) | (600) | (614) | (628) |
| Free cash flow          | 328   | 1,644 | 1,583   | 922     | 1,087 | 931   | 993   | 1,056 | 1,123 |
| Share repurchases (CFF) | (444) | (559) | (1,637) | (1,178) | (500) | (500) | (500) | (500) | (500) |

| Line item            | Hist source (22–25)                  | Fcst source, Scenarios col G               |
|----------------------|--------------------------------------|--------------------------------------------|
| Cash from operations | 10-K CF, Operating activities        | Scenarios!G148:G152 (pitch bridge CFO)     |
| D&A (add-back)       | 10-K CF, Depreciation & amortization | Scenarios!G55:G59 (D&A yr 1–5)             |
| Capital expenditures | 10-K CF, Capital expenditures        | Scenarios!G60:G64 (Capex yr 1–5)           |
| Free cash flow       | 10-K CF, CFO – capex                 | Scenarios!G153:G157 (pitch bridge FCF/CFS) |
| Share repurchases    | 10-K CF, Repurchases (financing)     | Scenarios!G158:G162 (G21=\$500M/yr fixed)  |



Cap stack and WACC build: lease-adjusted; no funded term debt

CAPITAL STACK (US\$ M)

| Component                           | US\$ M | WACC weight |
|-------------------------------------|--------|-------------|
| Market equity (price × shares)      | 11,138 | 86.1%       |
| ASC 842 operating lease liabilities | 1,798  | 13.9%       |
| Funded debt (term loans / bonds)    | 0      | 0.0%        |
| Total capital (WACC basis)          | 12,936 | 100.0%      |

EV BRIDGE (NOT IN WACC WEIGHTS)

| Component                | US\$ M | Note                                |
|--------------------------|--------|-------------------------------------|
| Cash & equivalents       | 1,807  | Added back in EV → equity bridge    |
| Net debt (leases – cash) | -9     | Near net-cash; leases in WACC above |

No funded bank debt; ASC 842 store leases are the only debt equivalent (~14% WACC weight). Cash \$1,807M exceeds lease debt → net-cash on a funded-debt basis.

WACC BUILD (CAPM)

| Input                         | Value         |
|-------------------------------|---------------|
| Risk-free rate (10-yr UST)    | 4.80%         |
| Equity risk premium           | 6.00%         |
| Tax rate                      | 30.00%        |
| Beta (relevered; lease adj.)  | 0.84          |
| Cost of equity (CAPM)         | 9.86%         |
| Pre-tax Kd (lease-equivalent) | 5.00%         |
| After-tax Kd                  | 3.50%         |
| Equity / debt weight          | 86.1% / 13.9% |

$\beta$ : Yahoo  $\beta$ L 0.86 → unlevered 0.76 @ D/E 0.19 → relever 0.84 @ lease D/E 0.16

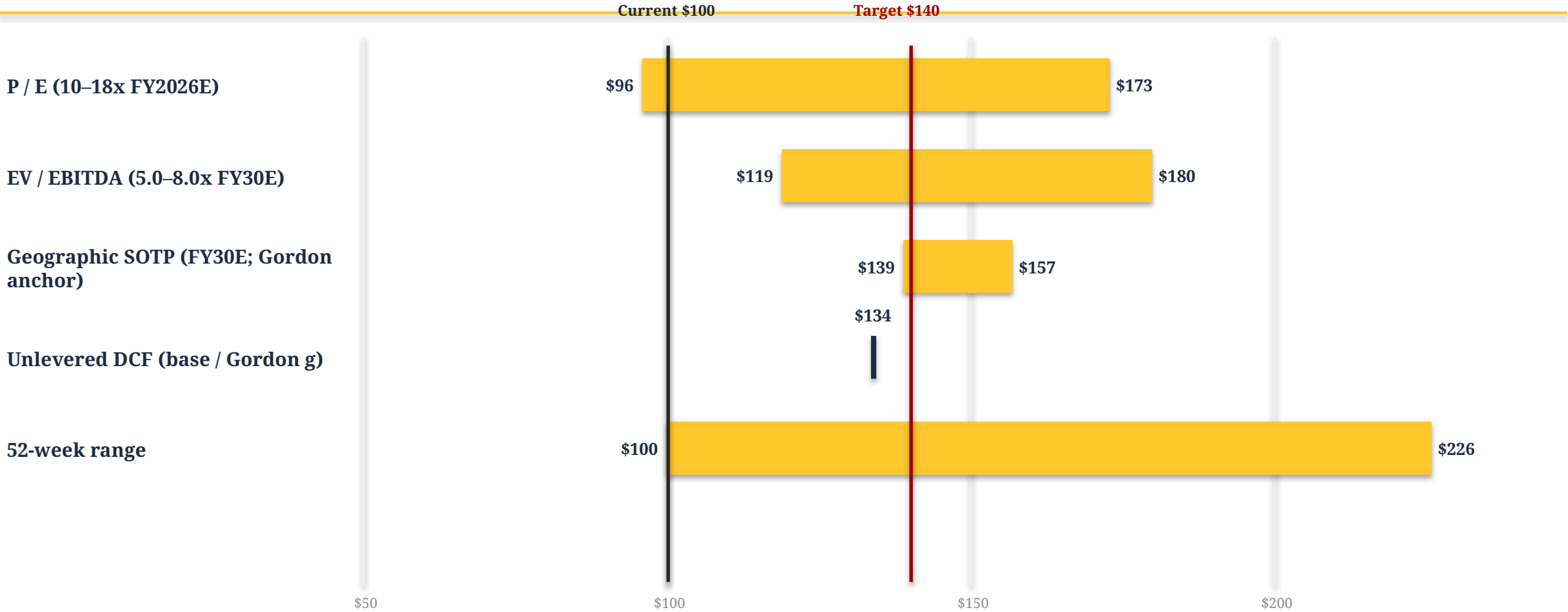
WACC = 8.98%

Base-case discount rate → Scenarios col G · implied price \$134

MODEL SOURCE MAP

| Line item                | DCF model source (WACC tab, col E) |
|--------------------------|------------------------------------|
| Market equity            | WACC!E10                           |
| ASC 842 operating leases | WACC!E11 (FY25 10-K)               |
| Funded debt              | WACC!E13                           |
| Total capital            | WACC!E14                           |
| Cash & equivalents       | 10-K BS, Cash                      |
| Net debt                 | DCF EV bridge                      |
| Risk-free rate           | WACC!E3                            |
| Equity risk premium      | WACC!E4                            |
| Tax rate                 | WACC!E5                            |

Football field: implied share-price ranges by methodology (base case DCF)



12-month target \$140 sits above base-case DCF \$134 and inside the comps/SOTP ranges: a partial re-rating, not a return to peak multiples.

DCF row = Scenarios col G (Gordon growth). Bear \$56 / bull \$202 bracket scenario range from the model.

Geographic segments on FY30E base revenue: EV/EBITDA spreads  
vs Gordon-implied exit (7.4x)

| Segment                                | FY30E rev | EBITDA % | FY30E EBITDA | EV/EBITDA | Segment EV (\$M) |
|----------------------------------------|-----------|----------|--------------|-----------|------------------|
| Americas                               | 8,070     | 16.5%    | 1,551        | 6.4x–7.1x | 9,924–11,010     |
| China Mainland                         | 1,805     | 19.5%    | 410          | 7.9x–9.4x | 3,238–3,852      |
| Rest of World                          | 1,543     | 18.0%    | 324          | 7.1x–8.1x | 2,297–2,621      |
| Total segment EV                       | 11,418    |          | 2,284        | 6.8x–7.7x | 15,459–17,483    |
| Corporate / HQ (no separate carve-out) |           |          |              | n/a       | \$0              |
| + Cash / – lease debt (EV bridge)      |           |          |              | n/a       | +1,807 / –1,798  |
| Implied equity value / share           |           |          |              | n/a       | \$139–\$157      |

Methodology

- Single-brand retailer: geography is the cleanest SOTP cut (Americas / China / RoW per 10-K)
- FY30E segment revenue = FY25 geo mix × base-case consolidated FY30 revenue (Scenarios col G)
- Segment EV/EBITDA spreads anchor to Gordon-implied exit 7.4x (selected DCF TV identity: not the 5–8x comps football-field band)
- Americas: Gordon – 1.0x to – 0.25x (mature); China: +0.5x to +2.0x (growth); RoW: –0.25x to +0.75x
- Consolidated base-case DCF \$134 uses Gordon growth (g=2.25%); SOTP is terminal-year EBITDA triangulation only

SOTP vs DCF

SOTP range: \$139–\$157

Base-case DCF: \$134

Overlap is expected: SOTP applies FY30 EBITDA multiples; DCF discounts explicit FCF + Gordon growth TV.

Base-case unlevered DCF (Scenarios col G): Gordon growth terminal value; 7.4x is implied exit identity

BASE-CASE ASSUMPTIONS (SCENARIOS COL G)

| Assumption                               | Value    |
|------------------------------------------|----------|
| FY2026 revenue growth                    | -6.1%    |
| FY2027–30 revenue growth (avg)           | +2.3%    |
| Clean EBIT margin (FY26 run-rate)        | 13.2%    |
| Terminal EBIT margin (FY2030E)           | 15.5%    |
| FY26 tariff refunds (one-time)           | \$134.5M |
| Cash tax rate                            | 30%      |
| Capex % of revenue                       | 5.5%     |
| WACC                                     | 9.0%     |
| Terminal growth (g)                      | 2.25%    |
| Gordon-implied exit EV/EBITDA (identity) | 7.4x     |

TERMINAL VALUE | GORDON GROWTH (SELECTED)

| Method                         | Formula / input                                                                | FY30 TV (\$M) |
|--------------------------------|--------------------------------------------------------------------------------|---------------|
| Gordon growth (selected)       | $FCF_5 \times (1+g) / (WACC-g); g=2.25\%$                                      | 16,804        |
| Exit multiple (identity check) | $FY30\ EBITDA \times 7.4x = \text{Gordon TV} \div \text{EBITDA (same number)}$ | 16,804        |

SENSITIVITY | IMPLIED SHARE PRICE (WACC vs TERMINAL g)

| WACC \ g | 1.5%  | 2.0%  | 2.25% | 2.5%  | 3.0%  |
|----------|-------|-------|-------|-------|-------|
| 9.5%     | \$115 | \$121 | \$124 | \$127 | \$135 |
| 10.0%    | \$108 | \$113 | \$116 | \$119 | \$125 |
| 10.5%    | \$102 | \$106 | \$109 | \$111 | \$117 |
| 11.0%    | \$97  | \$100 | \$103 | \$105 | \$110 |

VALUATION OUTPUT (US\$ M)

PV of explicit FCF (FY26–FY30) 3,944  
PV of terminal value 10,933  
**Enterprise value 14,876**  
Plus: cash 1,807  
Less: lease debt (ASC 842) (1,798)  
**Equity value 14,885**  
÷ Diluted shares (M) 111.4

**Implied value: \$134 / share**

**TV = 73% of EV · 7.4x = Gordon TV ÷ FY30 EBITDA \$2,284M (not a peer pick)**  
Selected TV is Gordon growth (g). The 7.4x exit multiple is the identity check (TV ÷ FY30 EBITDA), not a peer average.

Base-case cell

WACC 9.0% × g 2.25% → \$134. Grid brackets ±100bps WACC and 1.5–3.0% g.

Implied LULU valuation from PitchBook core athletic / apparel set (04-Sep-2026)

COMPARABLE COMPANIES | TRADING MULTIPLES

| Company                | EV/Rev | EV/EBITDA | EV/EBIT | P/E   |
|------------------------|--------|-----------|---------|-------|
| adidas                 | 1.51x  | 9.2x      | 18.6x   | 19.1x |
| Nike                   | 1.27x  | 12.7x     | 15.9x   | 18.3x |
| Deckers                | 2.47x  | 7.9x      | 9.8x    | 12.1x |
| Crocs                  | 1.74x  | 7.8x      | 7.8x    | 10.3x |
| Levi Strauss           | 1.52x  | 9.6x      | 18.1x   | 15.0x |
| Kontoor                | 2.01x  | 12.8x     | 15.4x   | 18.0x |
| Core median (ex-LULU)  | 1.63x  | 9.4x      | 15.7x   | 16.5x |
| LULU @ \$100 (current) | 1.07x  | 4.7x      | 5.0x    | 10.4x |

IMPLIED LULU VALUATION (CORE PEER MEDIAN)

| Metric       | Peer med. | LULU base | Implied px              |
|--------------|-----------|-----------|-------------------------|
| EV / Revenue | 1.63x     | \$10,425M | \$119-\$231 (med \$153) |
| EV / EBITDA  | 9.4x      | \$2,707M  | \$190-\$311 (med \$229) |
| EV / EBIT    | 15.7x     | \$2,211M  | \$155-\$369 (med \$311) |
| P / E        | 16.5x     | \$9.61    | \$99-\$183 (med \$158)  |

Peer benchmark methodology

Core peer set (NKE, ADS, DECK, CROX, LEVI, KTB) evaluates relative valuation using PitchBook data (04-Sep-2026). Implied equity = peer median × LULU base → EV, then + cash – ASC 842 lease debt ÷ shares.

Implied EV = peer median × LULU base (cols 2–3); P/E = median × EPS (no EV). EV + cash – lease debt ÷ shares = equity/sh.

Multiples confirm severe undervaluation

LULU trades at 1.07x EV/Revenue, 4.7x EV/EBITDA (PitchBook TTM), and 10.4x forward P/E vs core peer medians of 1.63x EV/Revenue, 9.4x EV/EBITDA, and 16.5x P/E.

DCF terminal valuation discount

Base-case DCF uses Gordon growth  $g = 2.25\%$ , implying 7.4x FY30 EV/EBITDA exit multiple: well below the 9.4x peer median (right table uses TTM EBITDA).

Conservative target price re-rating

Our \$134 base-case DCF and \$140 12-month target (+6 vs DCF, ~4% above model fair value) reflect undervaluation with only a modest re-rating: not Nike-level multiples.

Private-market context for athleisure M&A: not used to imply a control premium on LULU

| Target                 | Year | Type                  | EV (\$M) | EV/Rev | EV/EBITDA | Status                                       |
|------------------------|------|-----------------------|----------|--------|-----------|----------------------------------------------|
| Sweaty Betty           | 2021 | Closed acquisition    | 410      | 1.6x   | 16.0x     | Closed Aug-2021; ~16x FY21E EBITDA           |
| Gymshark               | 2020 | Minority growth round | 1,300    | 5.0x   | n/a       | Closed Aug-2020; \$1.3bn EV (minority)       |
| Vuori                  | 2021 | Growth investment     | 4,000    | n/a    | n/a       | Closed Oct-2021; \$4bn post-money            |
| Alo Yoga (Color Image) | 2023 | Unclosed sale process | 10,000   | 5.0x   | n/a       | Unclosed; no deal per Reuters Jun-2026       |
| LULU (public @ \$100)  | n/a  | Public equity         | 11,129   | 1.07x  | 4.7x      | Trading comps only (not a premium benchmark) |

Private precedent framework

Non-Alo private transactions establish a contextual floor of what strategics and PE pay for premium athleisure. They do not imply a control premium on LULU's public stock.

Closed M&A benchmark

Wolverine paid \$410M (~16x EBITDA, ~1.6x sales) for Sweaty Betty (2021), a concrete operating-company precedent for women's DTC activewear.

Growth capital rounds

Gymshark (\$1.3B implied EV, 2020 minority stake) and Vuori (\$4B post-money, 2021) show institutional demand and realistic baselines for premium DTC brands.

Excluded unclosed process

Alo's ~\$10B ask (~5.0x EV/Sales) is LULU's closest yoga peer, but unclosed private asks cannot dictate actual public equity valuation.

Valuation stack

DCF base: \$134 | Target: \$140

Comps median EV/EBITDA 9.4x → ~\$229/sh

Reasonably assumed ceiling from peer EV/EBITDA re-rating. Not our price target.